



Investment Policy Statement

The Furman University Investment Club (FUIC) is a 100% student-run organization that actively manages a portion of Furman's endowment. We hope to educate members through student-led discussions on market trends, macroeconomic events, and lectures on investment techniques and topics. Students monitor and pitch holdings to be considered for addition to the portfolio.

Portfolio Composition: FUIC's portfolio will be focused and composed of U.S.-traded, large-cap equities. Also, the club considers foreign stocks trading on U.S. exchanges as ADRs. Due to this composition, the fund will be benchmarked to the S&P 500 and Bloomberg Barclay's US Aggregate Total Return. The portfolio composition's target will be 80% equities and 20% fixed income; however, we allow a +/- 10% deviation from these targets.

Return Objectives: The objective of this fund is to outperform the benchmark over the long run, while being conscientious of relative short-term performance.

Risk Tolerance: The club accepts that losses are acceptable in the short-run in order to obtain superior relative long-run returns. However, in order to obtain these returns, the club is willing to take on risk comparable to the aforementioned blended benchmarks.

Risk Management: In order to minimize risk, the club will impose the following restrictions on its holdings:

- 1) No holding shall constitute more than 10% or less than 1% of FUIC's portfolio;
- 2) FUIC will manage sector weightings; as shown in the Sector Weights Table

Sector Weights Table:

S&P 500 Sector Weights	FUIC Portfolio Sector Weights Allowable Range +/- %
15.00% or Greater	25%
5.00% - 14.99%	50%
0.00% - 4.99%	75%

The sectors used are the GICS as defined by Standard & Poor's.

Fixed-Income Holdings

Fixed-income holdings will most likely consist of ETFs containing traditional fixed-income sectors. However, individual positions will be considered on a pitch-by-pitch basis.

Time Frame: As this fund is part of the Furman Endowment, it has the same time horizon as that of the Endowment that is to say to perpetuity. This does not mean that the portfolio shall only contain securities to be held for perpetuity, but that all trades should be done with a long-run focus.



FURMAN

INVESTMENT CLUB

Revised: 12 September 2017

Legal: All assets managed by FUIC are the sole property of Furman University and are put under the management of the organization with the trust that they will be responsibly managed. FUIC's portfolio is in the custody of an established and reputable discount broker. Only FUIC's faculty and staff advisors have access to the account's trading capabilities. Students with access to the online account are required to sign appropriate legal forms such that restrict them from trading and withdrawing assets.

Taxes: Furman University has tax-exempt status under Section 115 of the Internal Revenue Code. As such, FUIC does not have to pay any taxes on any of its investments, thus taxes do not weigh into investment decisions.